

CATEGORY	MEANING	SUITABLE FOR THOSE WITH
Conservative Allocation	These are conservative mutual funds that are risk-averse and ready to let go of returns for lower risks. They invest a larger share in bonds.	• Risk-taking ability: Low
Fund of funds	Fund of funds is a mutual fund that further invests in multiple funds, so as to give diversification benefits. This is a single fund that invests in multiple other funds.	• Too Expensive • Can be diversified on our own by owning multiple funds
Equity Saving Funds	They invest in debt, equity, and arbitrage. Arbitrage are situations where opportunities unrelated to the general market arise.	• Complicated • Best if ignored
Multi-asset Allocation Funds	These funds invest in a suit of assets – equities, bonds, gold, other mutual funds, Government Securities, etc. These give diversification benefits across asset classes.	• Expense ratio: Relatively high • Automatic diversification • Better to buy these assets individually